STARDOM Ventures

Q4 2023 REVIEW

STARDOM VENTURES

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SUMMARY

- **2023 Highlights:**
  - 2 new investment in amount of $2.2M
  - 3 follow-ons investment in amount of $2.3M
  - Fair market value: $53M
  - Gross Multiple: 1.4x

- **New investments in 2023:**
  - PeerPlay- PeerPlay Create and build brilliantly designed and masterfully executed mass-market, category leading games that captivate and monetize players for years. we invested $1M as a SAFE with a Cap of $8M and a 15% discount
  - Onecut.AI- The company mission is to use generative AI to mass produce authentic human-led video content. we invested $1.2M as a SAFE with a Cap of $8M and a 20% discount

- **Follow-On investments in 2023:**
  - Humanz- $1.5M at a $40M pre-money valuation
  - Syte- $136K as a SAFE with a Cap of $55M and a 20% discount
  - NYK.- $710K at a $21M pre-money valuation

OUR VIEW OF THE MARKET

2023 Summary:

2023 proved to be a challenging year for the Israeli high-tech sector, as investments in Israeli firms plummeted to their lowest point in five years. This downturn was attributed to a mix of factors, including a worldwide economic slowdown, political turmoil, and the conflict in Gaza.

As a result, venture capital funding fell to $7.3 billion, representing a significant drop of approximately 60% from 2022. This decline effectively reverses five years of progress in the Israeli high-tech industry, taking it back to the investment levels of 2018. At the same time, there were 624 fundraising rounds, indicating a 40% reduction compared to the year before.

Figure 1: Investments in the Past Year - Lowest Since 2018

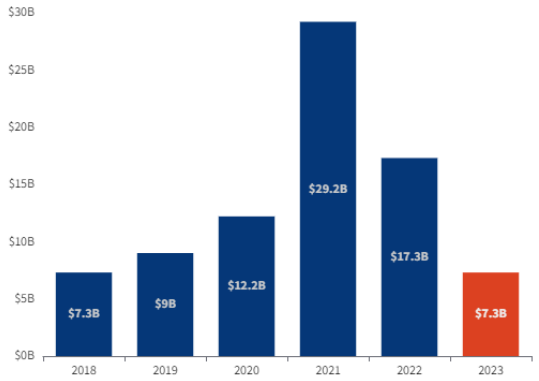
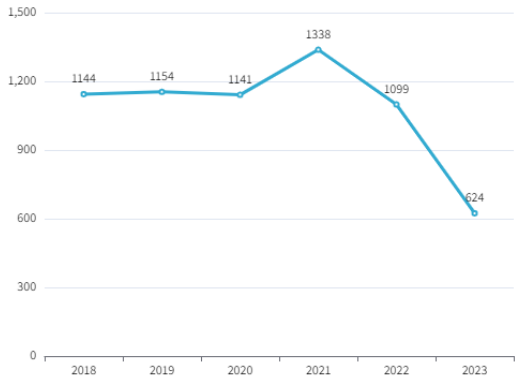
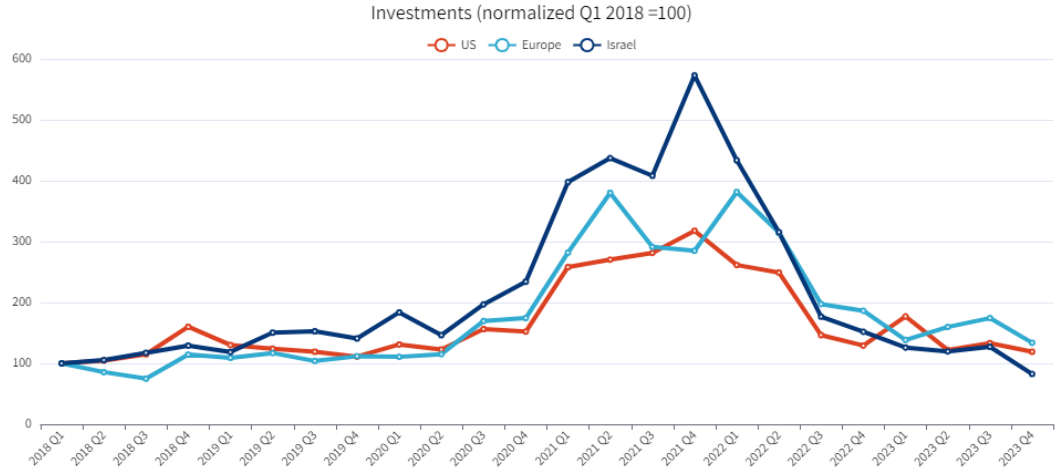


Figure 2: Decline in the Number of Funding Rounds



However, this trend is not exclusive to Israel; similar declines in capital investment have been observed in both Europe and the United States since 2022, amid a global economic downturn and escalating inflation. Yet, the Israeli high-tech sector has faced a more pronounced impact than its counterparts in other economies.

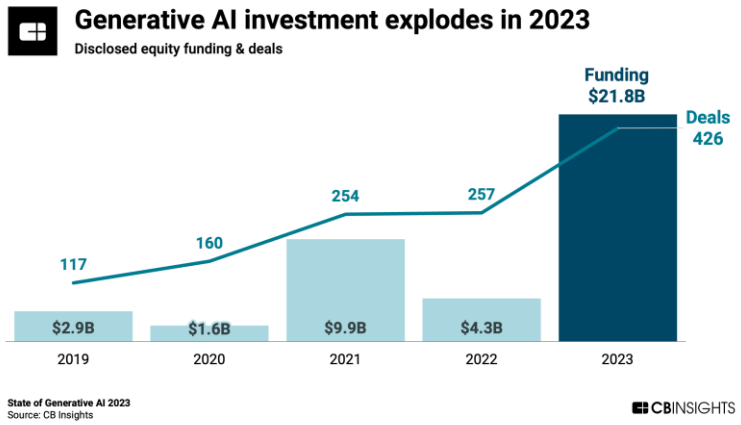
Figure 5: More Extreme Fluctuations in Investments in Israel Compared to the World



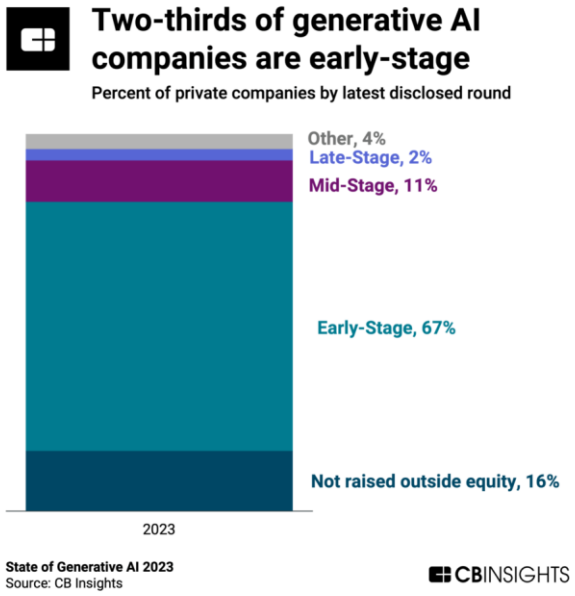
Sources: Data on Israel from Start-Up Nation Finder, data on US and Europe from PitchBook

<u>The GenAI Revolution</u>:

2023 was a breakout year for investment in generative AI startups, with equity funding topping $21.8B across 426 deals.



A very interesting fact is that even with the massive uptick in funding, the generative AI space is still **largely nascent**. According to CB Insights, of almost 800 generative AI companies that were formed globally, 16% have yet to raise any outside equity funding and about two-thirds are Series A or earlier. Only less than 15% are mid- to late-stage startups. There is still much room to grow:



Our Portfolio:
The result of fewer funding options is impacting our more mature companies, where it is more difficult to fundraise. We keep a close watch on the budget and work with the companies to secure the funding.

On the more optimistic side, some of our latest portfolio companies such as Tedooo, Botika, Now You Know and Treat are showing an impressive growth and a resilience to the current situation in Israel. We are expecting additional up-rounds in one of these companies during 2024.

FINANCIALS

As of December 31, 2023

PORTFOLIO STATS

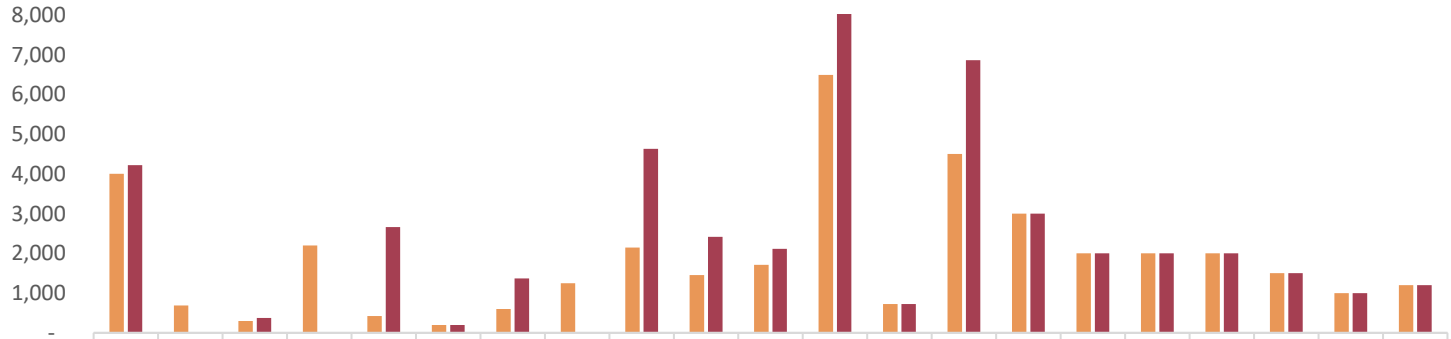
(In US thousands)

Fair market value	52,736	Number of First checks	21
Cost of portfolio companies	39,382	Avg amount of First checks	1,065
Gross Multiple (*)	1.4x	Number of Follow-ons	23
Number of exits	3	Avg amount of Follow-ons	773

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

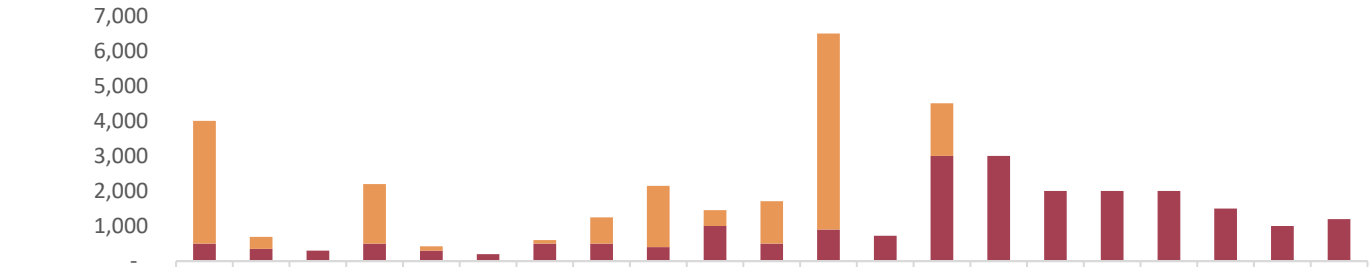
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay	Oncecut
FMV	4,217	-	375	-	2,660	200	1,370	-	4,629	2,414	2,114	14,475	724	6,857	3,000	2,000	2,000	2,000	1,500	1,000	1,200
Cost	4,000	690	300	2,197	425	200	600	1,250	2,146	1,453	1,710	6,487	724	4,500	3,000	2,000	2,000	2,000	1,500	1,000	1,200
Holding %	6.2%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	9.7%	7.2%	13.8%	7.8%	13.7%	18.8%	21.1%	SAFE	19%	SAFE	SAFE	SAFE
Multiple X	1.1	-	1.3	-	6.3	1	2.3	-	2.2	1.7	1.2	2.2	1	1.5	1	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



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Follow-on Investments	3,500	340	-	1,697	125	-	100	750	1,746	453	1,210	5,587	-	1,500	-	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000	1,200

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: The company has appointed an investment banker to check the option of selling the company after an interest from several companies. As the market conditions do not allow a substantial growth, and several of the company's retail customers are facing financial challenges, the board is interested in exploring this option. In order to extend the company's run rate, in August 2023 the company raised from the current shareholders $900K as a SAFE with a Cap of $55M and a 20% discount and a 2.5X participant preference. We invested $136K.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and looking for new verticals to penetrate in order to boost performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: The company failed to receive additional funding and despite a good momentum towards the end of Q4 2022, we were unable to agree on the terms of additional funding round, the board has decided to discontinue the support in the company and to shut down the operation. As a result we wrote off an amount of $1.25M.

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: The company is still looking and experimenting what would be an ideal market product fit. The burn has dramatically decreased as a result of that, and the company has enough cash until the end of 2024.

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: Deep dub has signed some major deals with Hollywood studios and beginning to generate more revenues according to its plan.

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: In February 2023, the company raised $8.5 million in Series A. The company is hitting its targets every quarter, and reached $2M in 2023.

Series A Round: $710K at $21M pre-valuation (7.16%)

PORTFOLIO UPDATE (cont.)

N L I G H T

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: Due to the fact that the technology was blocked by Google, the company is pivoting to locate early stage opportunities in the field of gaming and invest in them.

L U D E O

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

H U M A N Z

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

In February 2023, the company raised $10 million in Series A.

Series A Round: $1.5M at $40M pre-valuation (13.7%)

M U U U L A

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: The game is now expanding its distribution with a first Tier A country (Canada)

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

UPDATE: Treat will reach a milestone of $2M ARR by the end of Q1 2024 and it is constantly growing at a pace of 25%

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: Botika secured its Seed round. Stardom led it with the participation of leading UK and US funds. The company is growing at 40% to 60% MoM.

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

UPDATE: The company added an AI feature called "Vision" that allows buyers to create whatever they aspire to buy. The crafters bid for producing the product and the buyers can choose a crafter based on their price and ratings. The impact of Vision is radical and adding thousands of new users to the app every day

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

Our Investment: $1M as a SAFE with a Cap of $8M and a 15% discount.

ONECUT.AI

ABOUT: The company mission is to use generative AI to mass produce authentic human-led video content and provide businesses a video content marketing machine

Our Investment: $1.2M as a SAFE with a Cap of $8M and a 20% discount.